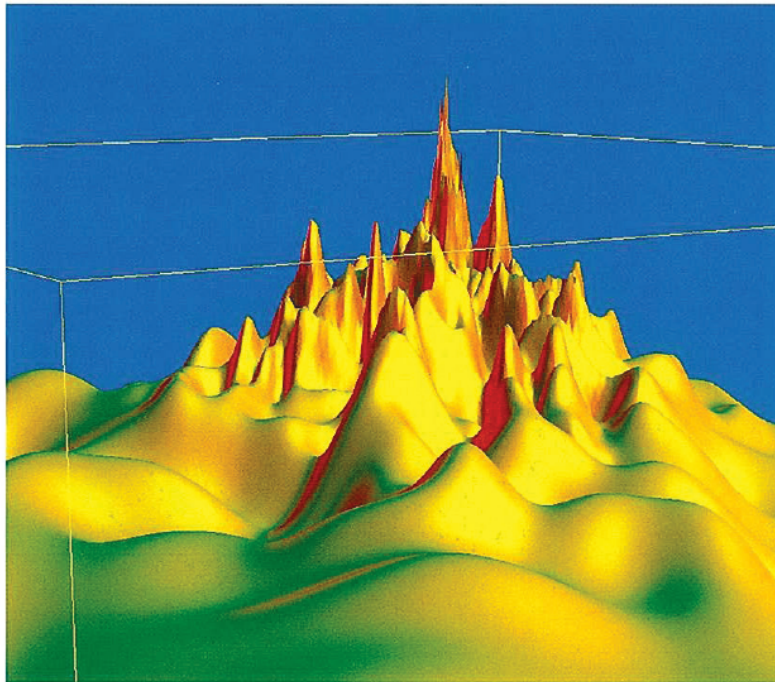


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STRATEGY
and the
BUSINESS
LANDSCAPE

PANKAJ GHEMAWAT



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Choosing Corporate Scope

Pankaj Ghemawat and Jan W. Rivkin

But we must now refer to one question about systems in general, and about organization systems in particular, the answer to which is of fundamental importance. I refer to the question as to whether the whole is more than the sum of the parts . . . whether there emerge from the system properties which are not inherent in the parts.

—CHESTER BARNARD, *THE FUNCTIONS OF THE EXECUTIVE* (1938), p. 79

This book has focused, for the most part, on strategy for a free-standing business in one industry. Yet large companies tend to operate in multiple industries. Procter & Gamble, for instance, expanded from its 1837 roots in the soap and candle industries to enter the markets for vegetable shortening (1911), laundry detergent (1933), hair care (1934), toothpaste (1955), toilet paper and paper towels (1957), diapers (1961), coffee (1963), pharmaceuticals (1978), cosmetics (1989), pet food (1999), and shaving products (through the acquisition of Gillette in 2005) among others. Though founded in 1892 on the basis of a handful of electrical inventions, especially electric lighting, General Electric (GE) now operates in industries as diverse as media and entertainment, health care, aircraft engines, energy infrastructure, household appliances, commercial and consumer finance, and insurance. This chapter examines the logic that underlies such choices of corporate scope.

Scope itself has several dimensions: horizontal scope (in what industries should a company compete?), vertical scope (should a company make its own inputs?), and geographic scope (where should a company compete?). To keep the scope of this chapter manageable, it focuses on horizontal scope. (For a brief discussion of vertical scope, see the section on holdup in Chapter 5). And geographic scope is dealt with in Chapter 7, on global strategy.

Systematic research suggests that the effects of common corporate ownership on the operating performance of businesses, while statistically significant, tend to be smaller than within-industry differences in performance that operate at the business level (the topic of Chapter 3) and differences in average performance at the industry level (the topic of Chapter 2). That said, **corporate strategy** cannot be ignored, for several reasons. First, the estimated corporate-level effects on performance, while smaller than direct business-level effects, are far from negligible. Second, inferences to be drawn from such estimates remain somewhat controversial. Third, the focus on ongoing operating performance used to isolate corporate effects in such studies misses out on at least some potential mechanisms for corporate value addition; for example, through one-time moves into or out of an industry, as appropriate. Finally, current corporate effects on performance seem to represent lower bounds on the strategic headroom afforded by corporate strategy, given our sense that there is a wide gap between best practice and average practice in this area. It is hard to deny that the best practitioners of corporate strategy—companies like GE, Danaher, Disney, and Berkshire Hathaway—have historically boosted the performance of their business units enormously.

The next section of this chapter reviews the evolution of the practice of corporate strategy. The rest of the chapter focuses on **two tests to be applied to (horizontal) corporate strategy: the better-off test and the best-alternative test**. Note the parallels to the discussion, in a single-business context in Chapters 3 and 5, of the challenges of adding value and appropriating value.

THE PRACTICE OF CORPORATE STRATEGY OVER TIME

Chapter 1 described the diffusion of portfolio planning for charting corporate strategy among large U.S. corporations during the 1970s. It also discussed some of the doubts that quickly set in about, among other things, the mechanical determination of resource-allocation patterns on the basis of historical performance data and, in many cases, an arbitrary assumption of self-financing that effectively ignored the existence of capital markets. The 1970s also saw the first systematic empirical analyses of the performance implications of different types of diversification strategies, which began to suggest that, in the United States at least, related diversifiers outperformed unrelated diversifiers.¹

Despite these developments, portfolio planning techniques continued to hold sway through the 1980s: the decade's most celebrated corporate strategy was Jack Welch's insistence on "#1, #2 or out" at GE, which focused attention on the market-share axis of the growth-share matrix. Further development of corporate strategy as strategy for a portfolio of strategic business units (SBUs) was heavily influenced, however, by the revolution in U.S. financial markets in the 1980s. A rising stock market and financing innovations such as junk bonds, abetted in a number of sectors by domestic deregulation and intensified foreign competition, fueled a wave of hostile takeovers and company restructurings that forced many firms to reevaluate their strategic thinking. Specialist consulting firms began to promote "value-based management" that made heavy use of financial measures of performance. According to one such firm, Marakon,

At least one-third, and probably more, of all units generate rates of return on equity capital each non-recession year that are significantly less than

the respective costs of equity capital. Further, most of these units . . . also consistently invest equity capital at these unprofitable rates!!! Thus, they impose capital confiscation—capital losses—on their owners, not once or twice, but over and over again.²

By the end of the 1990s, value-based management techniques had been refined to proprietary levels (e.g., EVA, a trademarked acronym for economic value added), and 43 percent of large-company survey respondents reported that they had implemented formal value-based management systems.³ This number was comparable to the 45 percent that had reported using portfolio planning techniques in a survey (by one of the same authors) two decades earlier.⁴ The stated reasons for implementing value-based management paralleled the ones identified in the 1980s by Marakon, and were headed by “We could not clearly determine where value is created or destroyed in our company” and “Our employees did not appreciate that capital has a cost.”

But the biggest change in the practice of corporate strategy in the 1990s was associated with the popularization of the concept of core competence by C. K. Prahalad and Gary Hamel.⁵ In an article that went on to become the best-selling reprint in the history of the *Harvard Business Review*, Prahalad and Hamel launched a full-fledged attack on the SBU-level foundations of portfolio planning. They argued that in an SBU-based architecture, no single SBU feels responsible for maintaining a viable position in core products or competencies that cross business boundaries, competencies developed within an SBU are not shared across SBUs, and opportunities for growth are missed. As an alternative, they recommended a corporate-wide strategic architecture for competence building and asserted that the successful organizations of the future would be the ones that shifted their focus from SBUs to core competencies, because these formed the foundations of future growth.

While the model of related diversification implicit in writings on core competence was not entirely new, the suggestion that organizations reorganize around “relatedness threads” sparked considerable strategic activity at the corporate level. As of 2007, core competences ranked fifth among 25 popular management tools in terms of usage in a global survey by Bain and Company, behind strategic planning, customer relationship management, customer segmentation and benchmarking, in that order.⁶

As in the case of portfolio planning, however, doubts about the doctrine of core competence began to emerge within a few years of large-scale diffusion. Two academic strategists dismissed it as “a ‘feel good’ exercise that no one fails.” After all, “every company can identify one activity that it does relatively better than other activities and claim that as its core competence.” For this reason, the definition of a firm’s core competence should not be based on an “internal assessment of which activity, of all its activities, the company performs best. It should be a harsh external assessment of what it does better than competitors, for which the term distinctive competence is more appropriate.”⁷

The empirical case for focusing on core competences also remains in doubt. The core competence argument implies that diversifying in related businesses will yield higher returns than unrelated diversification. Yet extensive unrelated diversification remains common, and apparently profitable, in many countries outside the United States. Even in the United States, one can find successful companies such as

Berkshire Hathaway that have ignored the stricture to focus on their core competences. One can also find companies that have expanded in directions suggested by alleged core competencies yet stumbled badly. Consider, for instance, the “socks and stocks” corporate strategy of Sears, Roebuck.⁸ In 1981, Sears acquired Coldwell Banker, the largest real estate brokerage firm in the United States, and Dean Witter Reynolds, a major securities broker. The acquisitions, added to Sears’s long-held insurance and consumer credit-card businesses, marked the company’s full-scale diversification from general-merchandise retailing into financial services. Explaining the move in the mid-1980s, Sears’s CFO explained how the acquisitions would leverage Sears’s expertise in data processing, its credit-card relationships with tens of millions of consumers, and the trust it enjoyed in the eyes of many customers.⁹ Cross-selling efforts stalled, however, hampered by such factors as the reluctance of business-unit executives to share customer lists. Apparently distracted by the company’s foray into financial services, Sears executives failed to address the company’s weakening position in the retail business—a fiercely competitive industry made more challenging by the rise of Wal-Mart. By 1988, Sears was struggling to hold off hostile bidders, and in 1992, the company announced that it would exit financial services and narrow its scope to retailing. Sears shareholders paid dearly for the scope maneuvers. A \$100 investment in Sears stock on January 1, 1980, turned into \$746 by the end of 1994, while the same investment over the same period in a set of narrow-scope companies that mimicked Sears’s industry portfolio would have produced \$1,256. As one set of researchers put it, “homemade diversification outperformed Sears’ diversification strategy.”¹⁰

Sears’s troubles exemplify the concerns of consultants whom we contacted to size up the state of current practice related to scope choices. As one put it,

In our experience, most firms have stopped even thinking through all the benefits, costs and risks [of scope choices], never mind actually trying to calculate them. Instead, they’ve adopted “relatedness religion” in which they believe that being able to name the ways in which their business units are related means they must, by definition, be achieving synergies.

TWO TESTS

Consideration of inadequate corporate strategies, such as the one at Sears, should, of course, be balanced with recognition that cross-business strategies can also create enormous economic value. One of the most successful scope expansions of the 1990s was Wal-Mart’s diversification from discounting general, nonfood merchandise—its original line of business—into discounting food as well. Wal-Mart’s Supercenter format offers food and general merchandise under one roof. Substituting Supercenters for nonfood discount stores was not obviously a winning idea: the razor-thin margins on food would cause the new format to have lower average operating margins than the old format. Wal-Mart realized, however, that supermarkets were saddled with expensive unionized workforces and had failed to invest enough in information technology, logistics, and the like. That stirred Wal-Mart’s interest in offering lower food prices as a way of growing volumes, including those for nonfood items under the same roof, to an extent that might outweigh the decrease in operating margins.

Specifically, if one assumes that a mature Supercenter would have nearly double the sales of a discount store and would, because of shared infrastructure, experience lower average capital costs, then, the net present value (NPV) to Wal-Mart of a new Supercenter might be 15–20 percent higher than the NPV of a new discount store. But a much bigger payoff from building traffic stems from the fact that Wal-Mart needs a population of just 75,000 people to support one of its Supercenters in the United States, versus 150,000 people to support a (smaller) discount store. Opening two Supercenters rather than one discount store in a region with 150,000 people allows Wal-Mart to quadruple its revenue in the region and raise its NPV by 130–140 percent! Operating in two industries rather than one has proven to be extremely lucrative: Supercenters are estimated to account for the bulk of Wal-Mart's market value—over \$100 billion—and to have a higher return on assets than traditional discount stores do.

How can managers distinguish good opportunities to expand and exploit horizontal scope, such as Wal-Mart's move from general-merchandise retailing into groceries, from poor opportunities such as Sears's move from the same base into financial services? The two examples seem to suggest that, in any discussion of corporate strategy, managers should focus intently on the corporate strategy's impact on *individual business units*. Competition occurs at the level of the individual business unit in a particular industry. Therefore, corporate strategy succeeds or fails to the extent that it aids or undermines business units as they strive to win in their specific markets. But how can we know whether membership in a particular corporate family is likely to help or hamper a specific business unit? We find two tests to be especially telling.¹¹

1. **The "Better-Off" Test:** Do combining and coordinating the activities of multiple business units, as one can do in a corporation with broad scope, enable the units to create and capture more value than they could as independent, unassociated units? In other words, what is the corporate added value?
2. **The "Best-Alternative" Test:** Suppose the units pass the better-off test and coordinated action is valuable. Is common ownership by a single corporation the best way to reap the benefits of coordinated action—better than alternatives like joint ventures, strategic alliances, licensing deals, and arm's-length transactions? Conceptually, this test focuses on value appropriation instead of value addition.

The better-off test asks whether a particular set of business units should be working together. The best-alternative test asks whether the set must be jointly owned in order to maximize the amount of value created and captured.

We find these tests to be useful whether one is considering the addition of a business unit to broaden horizontal scope, thinking about divesting a unit to narrow scope, or deciding how to manage an existing portfolio of businesses. In the context of adding a business unit, managers will also want to analyze the financial implications, asking whether the benefits of the addition outweigh the cost—in terms of their consequences for total profits (not just profitability, which went down in the case of Wal-Mart's Supercenters). In an efficient market for corporate assets, the answer is likely to be yes only if the two tests are passed. Similarly, when considering divestiture, managers will want to examine financials. A divestiture is likely to unlock value by freeing business units of one another only if the corporation fails at least one of the tests.

Some observers of corporate strategy suggest a third test, even tougher than the better-off and best-alternative tests: the "best-parent" test: "The appropriate

benchmark for value creation is not what would happen without a [corporate] parent, but what the best available parent would achieve.”¹² Taken literally, this seems too stringent. It probably does not make sense for every company to dispose of all businesses that it cannot run as efficiently as, say, GE could (unless GE is willing to make a high bid for the business). Having said that, we are sympathetic to a milder formulation of the third test, the “Good Parent” test, in which, even if a proposed opportunity to expand scope apparently satisfies the first two tests, it is worth asking yourself whether your company is particularly well-placed to observe or act upon the opportunity identified before you actually move to capitalize on it. In an ambiguous world marked by the possibility of the winner’s curse, to do less would be deficient on diligence. Such caution also recognizes strong forces that tend to push managers toward overexpansion. These forces include the following:¹³

- Human beings tend to be overly confident about their abilities. In surveys, for instance, 93 percent of Americans rate themselves as above-average drivers.¹⁴ The bias toward overconfidence may be especially prominent among successful executives, and there is evidence that this is reflected in their investment choices. A recent study shows that companies whose CEOs display overconfidence in their personal financial portfolios are particularly likely to spend free cash flow on fresh investments instead of paying out dividends or reducing debt.¹⁵
- An unexamined belief that bigger is better, a focus on “stretch goals,” a failure to recognize the reality that growth rates tend to drop as organizations age, an urge to mimic the expansion of competitors and, frankly, confusion as to whether market share is a symptom of success or a valid strategic goal in and of itself—all of these may encourage corporate managers to overexpand.
- Even without such encouragement, poorly governed top managers may act on a personal desire to build an “empire” and to increase the resources under their control. Moreover, managers may diversify in order to reduce the unsystematic risk that they face personally—even though shareholders may not value such reductions.
- Managers often get advice about mergers and acquisitions from investment bankers and other parties whose fees depend on deal-making.

Building on the rest of this book, especially the discussions in Chapters 3 and 5, we examine the two tests by looking at the activities of business units across their value chains. Others have approached corporate strategy very productively by focusing not on the activities of business units but on the resources that span business units.¹⁶ Indeed, we touch on the nature of such resources when we discuss the best-alternative test later. But, consistent with the treatment in the other chapters, we emphasize analysis of costs and benefits in terms of activity flows even when we are ultimately interested in evaluating different resource stocks that underlie them.

Our hope is that **hard-nosed examination of the costs and benefits of broad scope (the better-off test) and an objective look at alternatives to expansion (the best-alternative test) can help bring the discipline of business-level strategy to bear on issues of corporate strategy.** Note that the aim is not to propose a radically new point of view on corporate strategy but to use conventional theory to improve practice—an area that seems to offer large opportunities.

THE BETTER-OFF TEST

To pass the better-off test, an expansion in horizontal scope must enable a corporation's business units to create and capture more value together than they could as separate, single-business entities unrelated to one another. Indeed, **the incremental value must more than offset the costs of the corporate center.** Where can such incremental value come from? Obviously, a scope expansion can increase the aggregate volume of business on which it is possible to earn positive (or negative) economic margins. In view of the pro-growth biases discussed earlier, however, as well as the frequent business-specificity of many key resources, we remain cautious about thinking of scope expansions in purely scalar terms.¹⁷ The better-off test forces us to look, in addition, for other possible gains related to the concepts that have been discussed in earlier chapters. Sometimes, a scope expansion can improve the structure of the industries in which a company competes. More often, an expansion can increase the added value of business units within their industries—that is, widen the wedge between the willingness to pay that they generate and the costs they incur. Finally, an expansion can sometimes create value for a business by reducing the risk it bears.

Industry Attractiveness

There are two senses in which a scope expansion can improve the structure of the industries in which a company competes. First and simply, **broad horizontal scope can improve structure directly by mitigating the five forces** discussed in Chapter 2. Rivalry, for instance, may be muted among broad-scope firms that meet one another in multiple markets. Fearing that aggressive behavior in any one market will provoke fierce competition everywhere, they may refrain from aggression anywhere. The resulting "mutual forbearance" may lead to higher prices and profits in all of the markets.¹⁸ In line with this argument, pairs of U.S. airlines that meet on numerous routes have been found to compete less fiercely with one another on overlapping routes than do pairs that rarely meet.¹⁹ A similar pattern has been observed in the commercial banking industry.²⁰ Broad scope may also reduce another of the five forces, the threat of new entry, by denying new firms access to complementary inputs. The U.S. Department of Justice's case against Microsoft, for instance, centered on the claim that Microsoft's dominance in multiple lines of businesses (operating systems, word processing, spreadsheets, presentation software) made it difficult for new firms such as Netscape to establish themselves. A proposed remedy was to narrow Microsoft's scope, separating the company's operating-system business from its application-software operations.²¹

Second and more subtly, broad scope may give a firm an opportunity to migrate out of a structurally poor industry into a more attractive setting. Gradual experimentation over decades, accelerating in the 1990s, allowed Nokia to move from its traditional base in forest products, rubber, cables, and electricity generation to become a leading player in the fast-growing mobile handset industry. Through its diversifying merger with Time Warner, America Online (AOL) managed to take its shareholders' stake in the fast-deteriorating market for online services and trade it for assets in more stable industries like cable television, magazines, and film. Horizontal diversification can also bring efficient or creative new players into sleepy industries, sharpening skills and boosting industry performance. Cooper Industries,

for example, earned high returns for decades by bringing world-class manufacturing skills and professional management to mature, low-tech manufacturing industries such as the market for hand tools.

One should be cautious, however, about industry-attractiveness rationales for broad scope. It is difficult for one company alone to change the structure of its entire industry by means of its scope choices (unless, perhaps, you are Microsoft, which dominates its industry). Broad scope may open up an opportunity to migrate to a more attractive setting, but decision-makers can use this as a management tool only if they have better foresight than other potential entrants about what industries will be attractive in the future. Maneuvers like AOL's presumably depend on the existence of counterparts with inferior insights into the future or internal constraints on acting on their insights.

Competitive Advantage

More common and often more compelling are efforts to use scope to improve a company's position within its industry. As discussed in Chapter 3, a firm's ability to create value within an industry depends crucially on its driving a wedge between the costs it incurs and the willingness to pay it generates among buyers. Competitive advantage requires that this wedge be wider than competitors'. Corporate-level scope choices often have the greatest impact by influencing the wedges that business units can attain within their individual industries. There are many ways that scope choices can widen the wedges. Some operate clearly on the cost side of the equation—reducing costs without sacrificing willingness to pay. Others almost always affect the willingness to pay side—raising willingness to pay without incurring extra costs. Yet others can widen the wedge by influencing either costs or willingness to pay. We will examine these three categories—and the various limitations and drawbacks to which they are subject—in turn (see Exhibit 6.1).

EXHIBIT 6.1 Effects of Horizontal Diversification on Competitive Advantage.

Component	Levers for Value Creation	Limits
Cost Effects	– Shared cost economies across businesses • Shared activities • Shared resources	– Diseconomies of scale or scope – Costs of • Conflict/politicking • Compromise • Coordination
Willingness-to Pay/Price Effects	– One-stop shop/one-vendor sales and support – Cross-promotion/cross-selling – Umbrella branding – Bundling, particularly of complements	– Mixed motives – Cognitive conflicts – Reputational risk
Dual Effects	– Superior internal resource markets/transfer mechanisms – Other superior skills and capabilities – Cross-business learning/innovation – Size-based political influence	– Availability of market/interfirm alternatives – Typical breadth versus depth trade-off – Internal/inside-the-box biases – Antitrust laws/political backlash

COST EFFECTS *Shared cost economies*, the first row of entries in the exhibit, feature prominently in most horizontal diversification and can be thought of as the multi-business version of economies of scale within a single business. Simply noting the existence of such economies is not enough, however: their significance must be assessed. This often involves analyzing the cost structures of individual businesses activity by activity, sizing up the fraction of total costs that can be shared across the businesses, and estimating how sensitive those shared cost elements are to total size. An example illustrates how one can make such estimates.

- The Scotts Company makes and markets a wide array of lawn and garden care products.²² Specifically, its four business units sell grass seed and fertilizers, plant food for gardens, soil, and pesticides. In 1999, the units handled most of their procurement separately. The grass seed and fertilizer business unit purchased \$30 million of pesticide inputs while the pesticide business unit bought \$32 million of raw material. By combining their purchases, the unit managers felt that they could drive a harder bargain with raw material suppliers. Industry experts estimated that a doubling of purchase volume could reduce per-unit raw material costs by 5 percent. This would amount to annual savings of 5 percent $\times$ (\$30 million + \$32 million) = \$3.1 million. Moreover, the four units paid unit-level procurement personnel a total of \$2.9 million in annual salaries and benefits. Centralization of purchasing, it was estimated, might permit a headcount reduction that would reduce those salaries and benefits by \$0.7 million per year.
- Scotts also spent \$16 million per year on less-than-truckload transportation to get its products from factories to retail sites. These outbound logistics costs were spread across its four business units. By consolidating the shipments, managers felt that they could shift half the volume to full-truckload shipping, which they knew to be 75 percent cheaper per unit. This could lead to annual savings of \$16 million $\times$ $1/2 \times 75$ percent = \$6 million.
- Each Scotts business operated its own sales force, ranging in size from a few people for pesticides to 79 salespeople for the grass seed and fertilizer business. Each sales force, it was estimated, incurred fixed costs of roughly \$3 million plus salary, benefit, and bonus costs per salesperson of \$54,000. Consolidation of the sales forces would not allow much reduction in headcount, simply because the sales personnel called on different buyers and were already fully employed. Consolidation would, however, reduce redundant fixed costs associated with sales offices, sales management software, and so forth. The potential savings were estimated to be $3 \times \$3$ million = \$9 million per year.

Shared cost economies, like scale economies, can arise anywhere in the value chains of the business units. They typically occur when business units can coordinate activities for efficiency or spread the cost of some lumpy, underutilized resource over the volume of multiple business units. The resource involved might be tangible, like a piece of equipment, or intangible, like a brand, a reputation, a body of knowledge, or a capability.

It is crucial to recognize, however, that the *savings from shared cost economies can be offset*—to an extent that must also be examined—*by diseconomies of size or scope*. To see the possibility of such diseconomies, even for an outstanding management team, we can return to Wal-Mart. Especially with its diversification into food retailing, Wal-Mart has become massive. As the world's largest company, it now faces the challenge, given

high turnover rates, of hiring about 1 million workers per year just to maintain the size of its workforce at 1.9 million—which exposes it to heightened public scrutiny as well as increased bureaucratic complexity, as elaborated toward the end of Chapter 5.

The savings from shared cost economies can also be offset by the extra costs of conflict, compromise, and coordination that reflect heterogeneity in requirements, goals, and beliefs across businesses (which is likely to be larger than within one business).²³ Often these costs are so large that managers opt not to exploit potential economies. Thus, even consolidation-minded Royal Bank of Scotland passed up opportunities to share costs when it acquired Coutts, a bank serving 70,000 individuals of very high net worth, including the Queen of England. It feared that such sharing would compromise Coutts's ability to deliver a customized service to highly discerning clients.

Wal-Mart also faced costs of conflict, compromise, and coordination between its food and nonfood businesses, but managed to overcome them in a variety of ways. It designed the Supercenter to optimize the relationship between the two businesses. (Fourteen different variants were reportedly tried out.) Moreover, Wal-Mart set up the Supercenter format as a profit center and grew it organically, but grouped it with the format that it was cannibalizing into one gargantuan division—with more than \$208 billion in sales in 2006. This, along with the company's tradition of top-down strategic decision-making, aided the ongoing transfer of resources and the sharing of activities, systems, and the like.

But such conflicts et cetera *do* erect significant barriers to value creation in many cases, especially when companies are trying to redeploy existing resources or coordinate across businesses with traditions of decentralized decision-making. In the wake of the AOL Time Warner merger, for instance, the famously autonomous divisions of the old Time Warner resisted the cross-business coordination that was supposed to create much of the value of the company's expanded scope. So, in deciding whether to broaden scope by adding a business, or in choosing how to integrate a business that has already been added, managers must weigh carefully the benefits and costs of tapping potential economies.

WILLINGNESS-TO-PAY/PRICE EFFECTS *Willingness-to-pay and price effects*, the second row of entries in Exhibit 6.1, are not quite as commonly cited in horizontal diversification as cost reductions, but they can be very important. When Spanish bank Santander acquired Abbey National in the United Kingdom, for instance, it planned to reduce costs by €450 million over three years, but also targeted revenue enhancements of €220 million.²⁴

The revenue benefits of broad scope typically come from two sources: (1) increases in willingness to pay for a combined offering, and (2) improvements in a company's ability to price in a way that extracts willingness to pay. We consider each in turn. *Willingness-to-pay effects include* the following:

- *Customers often value the convenience of one-stop shopping* that comes with broad scope. In a consumer context, consider the convenience of Wal-Mart's Supercenters. In a business context, having one vendor or a single point of contact for sales, service, and other support can be a significant draw—especially when systems sales are important. When appointed CEO of a beleaguered IBM in 1993, for instance, Lou Gerstner resisted a plan to break the company into a dozen

"Baby Blues." Large corporate customers valued the ability to purchase entire solutions from one vendor, he argued, and IBM's uniquely extensive scope enabled it to deliver integrated packages better than the competition. Gerstner's decision to "go to market as one IBM" is often considered one of the strategic masterstrokes of the 1990s—and is, in a sense, being reemphasized by Sam Palmisano.

- Much of the rationale for media conglomerates seems to derive from significant and apparently cost-effective **cross-promotion** of their properties across lines of business as well as within businesses. A vivid example was provided by Rupert Murdoch's aggressive use of his British newspapers, particularly *The Sun*, to promote his British satellite TV start-up, SkyTV, against its rival, BSB (British Satellite Broadcasting). SkyTV's war of attrition with BSB culminated in a merger of their assets into BSkyB and Murdoch's effective assumption of control of what is now a fabulously valuable franchise. Similarly, Disney undertakes cross-promotion on a massive scale. When Disney releases a new animated feature film, for instance, the film's characters appear in Disney's theme parks, in its stores, in its Broadway theater, and on its ABC television network. From its film *The Lion King*, for instance, Disney took in \$1 billion of revenue at the box office and \$1 billion through other businesses.
- **Umbrella branding enables multiple businesses to reap the willingness-to-pay benefits of a strong brand.** Virgin, for instance, has used its umbrella brand to enter businesses ranging from airlines and record stores to mobile telephony, rail service, finance and money, and health and shopping.

Broad scope can also alter the pricing approach of a company. Microsoft, for example, benefits enormously from integrating into and offering an array of complementary products (e.g., its Windows operating system, Microsoft Office application software, Internet Explorer browser, etc.) The company's broad scope not only raises barriers to entry, as mentioned earlier, but it also affects pricing in two ways. As an integrated player, Microsoft can set prices in complementary markets in a coordinated manner, extracting more profits than could unintegrated players with similar market power in separate markets.

Once again, however, there are a number of limits to these levers for value creation.

- The **issues of conflict, compromise, and coordination that were discussed earlier often also show up in the context of willingness to pay, although in the form of price penalties rather than extra costs.** For example, attempts to bundle complements often lead to compromised offerings instead of ones as compelling as the Supercenter, or they founder because of more fundamental coordination problems. Bundling efforts can also open opportunities for narrow-scope competitors. In the wake of the AOL Time Warner merger, for instance, rivals such as Yahoo! made considerable progress in forming alliances with competing cable providers. After PepsiCo purchased fast-food restaurants Pizza Hut, Taco Bell, and Kentucky Fried Chicken, Coca-Cola persuaded Wendy's and Burger King to switch their soft-drink offerings from Pepsi to Coke.
- **If the offerings of different businesses are substitutes instead of complements, it is even trickier to manage across them because of mixed motives due to fears of**

self-cannibalization and similar concerns. For example, Clay Christensen's emphasis on disruptive technologies keys off the mixed motives that an incumbent using one technology faces in dealing with a new technology that underserves the needs of most of its current customers but is on a more rapid performance-improvement trajectory.²⁵ Or to take a somewhat different type of example, full-service airlines have failed to create a compelling "product" for the low-fare segment of the marketplace in part because they know that such an offering will draw traffic away from their existing higher-fare service.

- **Cognitive conflicts in the minds of customers** (or even employees) can also constrain horizontal scope **if scope expansion threatens to blur a company's external (or internal) message**. Thus, Disney has always been very careful about the products for which it licenses images of Mickey Mouse and the rest of its wholesome menagerie. This caution has proven to be well-placed. The 1994 release of the controversial film *Priest* by Disney's Miramax subsidiary, distant from Mickey, led the Catholic League to call for a boycott of the entire Disney corporation, not just the film. More broadly, Disney has found that actions in one domain can endanger prospects elsewhere. Disney's production of *Kundun*, a movie about the Dalai Lama, allegedly led Chinese officials to threaten in 1996 to reevaluate the full range of Disney's plans in China. And when Disney barred Miramax from distributing the controversial *Fahrenheit 9/11* in 2004, some analysts speculated that Disney feared a conservative backlash in other parts of its business. (Ironically, the action itself led to a backlash, causing some liberal groups to call for a boycott of all Disney products.)
- Finally, **umbrella-branding efforts carry significant reputational risk**. Think of what might have happened to Accenture if it had remained tightly coupled to Andersen Accounting, including continuing to call itself Andersen Consulting, when Andersen Accounting's dealings with Enron began to come to light.

In our experience, thoughtful managers who are considering an expansion of horizontal scope are relatively skeptical of willingness-to-pay/price effects and tend to rely more heavily on "hard" arguments about cost economies. As one management consultant told us, "If the move can't be justified on the basis of cost savings, that's a bright red flag." We are somewhat sympathetic to this point of view, given how much easier it is to dream up revenue "synergies" than to realize them. Cost synergies are subject to at least some of the same problems, however. This suggests a careful, critical analysis of both willingness to pay and costs rather than an approach that always emphasizes one over the other.

DUAL EFFECTS Sometimes it is hard to separate opportunities to create competitive advantage cleanly into cost effects and willingness-to-pay effects. Consider, for instance, an example from the Scotts Company, the lawn and garden care manufacturer mentioned earlier.²⁶ In 1999, Scotts experimented with deploying in-store counselors at major home-improvement retailers like Home Depot. These counselors helped customers select the Scotts product that matched their needs. Stores with experienced counselors typically saw a 20 percent increase in sales of Scotts products—a major boost. Simple calculations of margin per product line revealed that only one of the four Scotts business units, the grass seed and fertilizer unit, could justify the expense of the counselor on a standalone basis. As independent entities, none of the other three units had enough volume per store for a 20 percent boost in sales to

support a counselor's wages. Because they were members of the Scotts corporation, however, the three small units were able to enjoy an important advantage over rivals with narrower product lines. This advantage can be classified as a willingness-to-pay advantage, reflected in the 20 percent increase in volume, or as a cost advantage, reflected in the lower cost of a counselor's wages spread over more volume.

Such inseparabilities should not prevent a careful analysis of the impact of scope on competitive advantage; after all, advantage depends not on one or the other, but on the gap between the two. In this regard, it is useful to acknowledge, as in the third row in Exhibit 6.1, various levers of corporate advantage that widen the wedge between costs and willingness to pay, but, depending on the circumstances, can do so by influencing the cost side of the equation, the willingness-to-pay side, or both. *Superior internal resource markets, transfer mechanisms, and skills and capabilities* are directly relevant to the best-alternative test and will therefore be discussed further in the next subsection. *Cross-business learning and innovation* have the potential to improve both costs and willingness to pay over time. For instance, 3M has created competitive advantages for decades by sharing deep knowledge of a handful of core technologies across tens of thousands of product lines. One such technology involves expertise in coating, where a set of more than 40 specific techniques support thousands of products ranging from Post-it memo stickers to medical items—products that account for roughly two-thirds of corporate revenue. However, cross-business learning and innovation can also entail an *internal bias* that deemphasizes external know-how or thinking outside the box of the current business portfolio. Finally, there is the possibility of *size-based political influence*: a political version of economies of size. However, *antitrust laws* often constrain some of the horizontal moves that might prove the most profitable (e.g., the challenges to Microsoft's bundling strategy in the United States and Europe) and, as noted earlier in the context of Wal-Mart, size can actually lead to somewhat of a *political backlash*.

Risk Considerations

When asked to explain their scope choices, many corporate executives make a risk-related argument: **diversification reduces volatility in overall corporate performance by averaging returns** across businesses subject to different shocks, cycles, and trends. Managers of Cendant offered an explanation of this kind as they pieced together the corporation's collection of real estate franchises, rental-car agencies, hotels, tax services, relocation services, travel-distribution systems, and financial services operations. The plan, as one observer put it, was "to buy up businesses to create a company with enough size and diversity that no one shock could pummel it."²⁷ If a weak economy hurt the travel-related business units, for example, the associated low interest rates would boost the real estate units.

For publicly traded companies participating in well-oiled capital markets, modern finance theory has seriously undermined this type of argument. Investors can diversify inexpensively on their own, constructing a portfolio with the balance of risk and return they desire. There is no reason for the corporation to do so on their behalf. Moreover, a corporation that spots a great investment opportunity but is short on funds can raise capital in the public markets.

The risk-reduction argument does, however, hold more water in other contexts. **Firms with limited access to efficient capital markets may legitimately create value**

by diversifying to smooth performance and create internal capital markets. The business groups that dominate many emerging economies have recently been viewed through this lens.²⁸ Similarly, individual- or family-owned corporations whose owners wish to retain control and avoid public capital markets often diversify for risk-reduction reasons. But except when access to efficient capital markets is seriously constrained, firms must justify their scope choices and pass the better-off test on the other grounds we have mentioned.

THE BEST-ALTERNATIVE TEST

The essence of the better-off test is to ask whether the business units of a corporation can create more value under common ownership than they would as isolated entities, even after netting out the direct and indirect costs of corporate membership. This test compares commonly owned business units with standalone business units; thus it focuses on what we might call corporate added value. The best-alternative test, in contrast, realizes that common ownership is not the only possible basis for coordinating across business units. Business units might, instead, remain independently owned but partner with one another, form strategic alliances, sign long-term contracts, and so forth. The best-alternative test asks, Can a corporation that owns its business units outright accomplish its ends better than the same business units coordinated in some other way? Note that, conceptually, this test focuses on value appropriation and not just value addition. For instance, in assessing the wisdom of a strategic partnership as an alternative to joint ownership, managers must not only compare the total value created under each arrangement, but must also consider whether the partner might hold up the firm and appropriate the value that was created.

Applied to some of the examples we developed earlier, the best-alternative test raises questions like the following: Could Wal-Mart have reaped most of the benefits of its Supercenters by partnering with and co-locating with local supermarket chains? Could a set of small lawn-care manufacturers, even if they are not jointly owned, band together to place sales counselors in retail stores? Could Disney exploit its animated characters by licensing the characters to theme parks and retail stores owned by others, or must it own its own parks and stores? The careful comparison of corporate ownership to alternate arrangements sheds light on whether a set of businesses should be jointly owned. As we will see next, it also helps us understand how the set might be managed.

Transactions Costs and Ownership

As the many examples of broad horizontal scope make clear, there are often times when managers judge ownership to be better than alternate arrangements. Yet at other times, managers prefer alternate arrangements; for example, when a company decides to contract out excess manufacturing capacity instead of using it to expand horizontal scope, enters into a cross-marketing agreement with another company, or licenses its intellectual property instead of using it internally. Disney, for instance, licenses its characters to McDonald's rather than operating its own fast-food stores. (Disney experimented with fast-food operations, Mickey's Kitchens, during the 1980s but abandoned the concept.) Yahoo!, the Internet portal, partners with companies like SBC (now AT&T) and British

Telecom to provide high-speed Internet access, and it has resisted the notion that it needs to own distribution resources (or be owned by a company with such resources). To expand its scope into the printer industry, Dell resells printers made by Lexmark, in sharp contrast to Hewlett Packard, which produces its own printers.

The concept of *transaction costs* can help us understand which transactions tend to take place within a corporation instead of across firm boundaries.²⁹ *The relationship between two business units—whether they are sister units within a corporation or alliance partners or arm’s-length traders—can be thought of as a set of transactions.* Governing a transaction involves certain costs, including the costs of finding a transaction partner, negotiating the terms of an agreement, and making sure the transaction is completed to the parties’ satisfaction. Different governance arrangements involve different transaction costs. Transactions are generally expected to migrate toward the form of governance that permits them to be completed effectively and at low cost.

Many types of transaction costs are straightforward, and *comparing these costs across forms of governance is easy.* Take, for example, the *costs of finding a trading partner.* Internal ownership often makes it inexpensive to find a partner. When Disney’s film division develops a new animated character in a film and wants to market the character in a theme park, it incurs no costs in finding a willing theme-park partner. It simply turns to Disney’s theme-park division.

Other types of transaction costs, however, are more subtle. Studies of corporate scope have identified one particular type of cost that explains many differences in governance choices: the *cost of preventing opportunistic behavior.* *When parties enter into a relationship, each might legitimately worry that the other will exploit opportunities to take unfair advantage of the relationship—the threat of holdup* discussed in Chapter 5, but with a focus on vertical rather than horizontal integration. Thus, if Disney were to license its characters to the theme parks owned by Six Flags, for instance, it might worry that Six Flags would use the characters in ways not authorized by Disney.

A common way for companies to overcome concerns about *opportunistic behavior is to write contracts that lay out clearly what each party can and must do* under various circumstances. When contracts work relatively well, companies are more likely to find it cost-effective to complete transactions through arrangements that involve other parties: arm’s-length purchases, licensing deals, alliances, joint ventures, and so forth. When they do not, companies are likely to prefer broad-scope and in-house deals. Researchers have identified *several impediments to contracting efficiency.*³⁰

- ***Contractual complexity and incompleteness.*** It is very difficult to write contracts that comprehensively cover long-term business relationships in highly uncertain settings. Consider again the potential deal between Disney and Six Flags. The contract for such a deal has to cover a huge range of contingencies. What happens if the film and its characters are not as popular as anticipated? How will gains be divided if the film is more successful than expected? If there is an accident on the film-related park ride, who will be liable, and who will manage public relations? Will Six Flags be allowed to locate less-wholesome attractions near the Disney ride? Will Disney have recourse if the ride’s staff is impolite or the lines for the ride get too long? And so forth. A contract for such a deal may run into hundreds of pages and still fail to cover many of the events that might arise. Because it is prohibitively costly to write a contract

that covers every contingency, opportunities remain for Disney and Six Flags to take advantage of one another.

- **Unclear property rights.** One role of a contract is to specify who has rights to what property under various circumstances. This is a relatively straightforward task for tangible pieces of property—machines, vehicles, buildings, parcels of land, and so forth. For intangible resources—knowledge, ideas, skills, brands, innovations, and the like—property rights are much harder to define. As a result, contracting over intangibles is much more difficult, and markets for such resources are more prone to break down. Consequently, we often see intangible resources shared across business units within a corporation, while tangible resources are shared across corporations by means of other arrangements.
- **Poor enforcement of contracts and property rights.** A contract—even one that can easily and clearly be written down—will not allay parties' fears of opportunistic behavior unless they expect the contract to be enforced. In most developed economies, the baseline assumption is usually that courts and governments will enforce and uphold contracts and, more broadly, defend property rights. In many emerging economies, in contrast, contract enforcement and property rights seem more fragile. In such settings, trade across corporate borders can be risky. A buyer can realistically fear that a good it pays for will never be delivered. A seller can legitimately worry that it may never be paid after delivering a product or service. Where such concerns are prevalent, corporate scope might be especially broad. This appears to be another reason (in addition to risk-reduction) why highly diversified conglomerates dominate the private sectors of many emerging economies. Consider, for instance, the business houses of India, the *grupos* of Latin America, and the *chaebol* of South Korea.³¹
- **Relationship-specific or cospecialized resources.** The effects of the contracting hazards identified earlier are all amplified if, before transactions can take place, transactors have to make up-front investments whose value is specific to their relationship. Such relationship-specific or cospecialized resources were discussed in some detail in Chapter 5, in the section on holdup, but can be illustrated once again with the potential deal between Disney and Six Flags. To consummate it, Six Flags would have to build rides in its theme parks, and Disney would have to create and market its films. Making such relationship-specific investments is risky. Before Six Flags built the ride, for example, Disney might promise that it would charge Six Flags a low fee to license its characters. Once a hard-to-alter ride is built, however, what would prevent Disney from reneging on its promise and charging a higher fee, especially after expiry of the initial contract? And knowing that this might happen, Six Flags might build a ride that is less expensive, less appealing, and less durable than would be optimal. Because of such dangers, investments in relationship-specific resources tend to be made within corporate boundaries rather than across them—although it is worth recalling from the discussion of holdup in Chapter 5 that integration is just one of several possible responses to such problems. As a result, when the resources shared by two business units are highly specific in this sense, it is more likely that the units will be owned by one corporation.

Conversely, relationships that do not involve as much resource-specificity can often be managed well across corporate boundaries. Take, for example, Disney's arrangement to license its characters to McDonald's. To incorporate Disney characters into its

Happy Meals for kids, McDonald's undertakes some modest and short-lived specific investments: it buys some toys based on Disney characters, prints some bags with the characters on them, and does a little marketing. The scale of the investment it puts at risk is modest compared to the many millions of dollars of thoroughly sunk investment that might be required to design and build a theme park ride. (A ride recently added to Disney's California Adventure theme park, for instance, reportedly cost \$75 million.)

More broadly, while all of these factors point to conditions in which the transaction costs of alternate arrangements might be especially high and common ownership might be especially attractive, it is important to remember that "internal" transactions among jointly owned business units are costly as well. Even within a corporation, managers must find parties to transact with, negotiate internal terms such as transfer prices, and maintain coordination after a deal is struck. They must allay concerns, often intense, that one business unit will take advantage of another. Moreover, the biggest cost of an internal transaction may often be an opportunity cost: the cost of forgoing access to attractive transacts with third parties. For example, in the wake of the AOL-Time Warner merger, AOL's rival Yahoo! felt that it would have a significant advantage over AOL in finding Internet content. AOL would feel obliged to obtain content from Time Warner divisions, whereas Yahoo! could shift freely among content providers, selecting the best of them and playing providers off against one another. In addition to enhancing cost-efficiency, independence can also be directly valuable to one's customers. For years, Andersen Consulting (now Accenture) won information technology integration contracts over IBM because it was viewed as independent while IBM integrators were thought to push the hardware and software of sister businesses.

To summarize, one can apply the best-alternative test by envisioning the transactions that two business should undertake to maximize the wedge between costs and willingness to pay and by comparing the various ways these transactions can be governed—within a single corporation or across corporate boundaries. To justify broad scope, one must argue that common ownership makes more sense in governing the relevant transactions than arm's-length deals, licensing arrangements, alliances, joint ventures, or other options. Broad scope is most likely to be justified when contractual complexity and incompleteness are high, property rights are intrinsically unclear, enforcement of contracts and property rights is poor, and large investments in relationship-specific resources are involved.

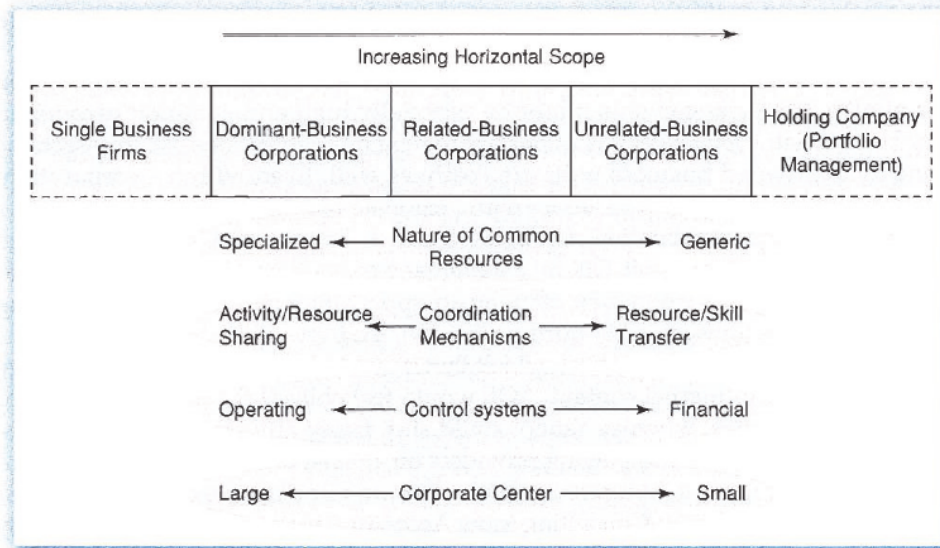
Models of Corporate Management

The best-alternative test helps us understand not only what sets of business should be jointly owned, but also how such a set of businesses can be managed. While diversified corporations are managed in many different ways, this diversity can usefully be simplified into the three models of corporate management along the continuum shown in Exhibit 6.2. Each management model tries to meet the best-alternative test in a distinct manner.

- **Dominant-business corporations** consist of relatively few business units—often one or two core businesses surrounded by a coterie of peripheral units. Wal-Mart, discussed earlier, is one example. Dominant-business corporations strive to meet the best-alternative test and beat alternatives to joint ownership by investing in a set of highly specialized resources that separately owned companies cannot match and, often, by achieving more extensive cross-unit coordination.

EXHIBIT 6.2 Models of Corporate Management.

Source: Based on David J. Collis and Cynthia A. Montgomery, *Corporate Strategy: Resources and the Scope of the Firm* (Chicago: Richard D. Irwin, 1997).



Thus, it is hard to imagine separate companies matching the co-location, shared logistics systems, and joint operational capabilities of Wal-Mart's general merchandise and food businesses. Because the corporate infrastructure required to develop specialized resources and to coordinate their use can be extensive, dominant-business corporations often have sizable corporate staffs.

- **Related-business corporations** typically have more business units than dominant-business corporations as well as a distinct bottom line for each business, but they maintain one or more common threads that link their businesses. A good example is Walt Disney, whose many businesses concentrate on entertainment and the management of creativity. Related-business corporations try to meet the best-alternative test either through one-time transfers of specialized resources or skills to new lines of business (or perhaps from them, if acquired) or, more ambitiously, through ongoing sharing of resources or activities. The collaboration across numerous units inevitably gives rise to conflicts and tradeoffs that would be difficult to govern through multilateral contracts. These, in turn, often engender a need for operating as well as financial controls, with corporate managers directly involved to achieve cross-business coordination. Consider, for instance, Walt Disney's sharing of cartoon characters, the Disney brand, and other resources across multiple businesses and its numerous mechanisms for coordination at the corporate level (e.g., a synergy committee, a corporate calendar, and so forth). If dominant-business corporations strive for deeper sharing and coordination than more loosely linked entities, related-business firms aim for broader sharing and coordination, across more businesses.

- **Unrelated-business corporations** often maintain sprawling business portfolios, with many units and sparse relations among them. They typically strive to satisfy the best-alternative test by building their corporate strategies around relatively unspecialized, or generic, resources. Thus, conglomerates in the United States generally emphasize tight financial controls as a way of optimizing cash management, increasing liquidity, and improving resource allocation relative to what external capital markets might be able to achieve. Given the usual limits to value creation through such approaches, they also tend to have relatively small corporate offices. A financial orientation also characterizes most other U.S. organizations involved in motley businesses, such as venture capitalists and private equity groups. As noted earlier, however, these conclusions seem to be very specific to country context. In emerging economies with poorly developed markets for capital and other resources and weak property rights, the best-alternative test has less bite, and highly diversified business groups can plausibly undertake a broader range of cross-business functions and sport correspondingly larger corporate offices.

Each of these models of corporate management should be thought of as a broad characterization within which there may be much specific variation. Both Disney and AOL Time Warner are related diversifiers, for example, but Disney has historically pursued far greater coordination and permitted far less autonomy across constituent businesses than AOL Time Warner. The variants within each model make the array of possibilities more a continuum than a limited set of discrete options. And companies that share the same broad model can differ not only in the variants that they implement but also in how effective they are in doing so. Among corporations with unrelated businesses, for instance, GE has managed its businesses more effectively over the long run than most other conglomerates in the United States.

Despite the variation in the implementation of these broad models, there has been extensive analysis of whether any one of them consistently delivers better corporate economic performance than the others. The prevailing wisdom, based largely on research in the United States, used to be that there was a conglomerate discount (with unrelated diversifiers underperforming other firms) and, more tentatively, an overall diversification discount (with single-business firms outperforming diversified firms in general). Specifically, such studies tended to report “diversification discounts” of 10–30 percent, with larger discounts, on average, for companies that operate in less-related arrays of businesses.³² However, much of this work does not take on board the point that profit-maximizing firms should try to maximize total economic profits (profitability times volume) rather than just profitability per se. Moreover, even if one focuses on ratios rather than measures of total value creation, recent work has raised questions about whether the U.S. data actually indicate that diversification itself causes any such discount.³³ We have also learned that the conglomerate discount may not apply universally. In a number of emerging countries, for instance, affiliates of the sorts of diversified business groups cited earlier can systematically outperform standalone, less-diversified local firms.³⁴ So instead of trying to figure out which type of horizontal diversification model is best, it seems more sensible to recognize the pros and cons of the different—and internally consistent—models for corporate management described earlier and to focus on the model that makes the most sense for a given portfolio of businesses in a given context.

AN APPLICATION: MERRILL LYNCH'S ANALYSIS OF THE AOL TIME WARNER MERGER

When companies announce moves that broaden horizontal scope, they inevitably publicize the “synergies” between sister units. It is important to find concrete benefits of broader scope, especially since acquisitions and mergers usually involve hefty premiums and internal expansion is often expensive. Unfortunately, many claims of synergy are logically flawed, in ways that are highlighted by the better-off test and the best-alternative test.

In order to illustrate the logic of the tests one more time, we examine one analysis of the potential gains from the 2000 merger of AOL and Time Warner. Exhibit 6.3 summarizes “You’ve Got Upside!” a research report published by the team of Henry Blodgett, a prominent analyst of Internet-related companies, at Merrill Lynch. (In fairness, note that the analysis was performed from the outside rather than the inside and was completed near the height of Internet euphoria.) The Merrill Lynch report claims that, by bringing together the Internet content and access resources of AOL and the traditional media and cable properties of Time Warner, the merger could increase earnings before interest, taxes, depreciation, and amortization (EBITDA) by \$1 billion. Quotations from the report, in Exhibit 6.4, explain the reasoning behind some of the items in Exhibit 6.3. The quotations illustrate several of the logical flaws we most commonly see in discussions of corporate strategy.

- *Mutually beneficial arrangements that the companies could achieve via contracts, without common ownership, are touted as benefits of the merger.* Take, for instance, the argument that AOL can cut \$200 million out of its \$1 billion sales and marketing budget by marketing its online services through existing Time Warner channels (item 1 in Exhibit 6.4): “AOL discs can be included in Time Warner magazines and are already displayed in Warner’s Studio Stores.” If this is indeed an effective or low-cost way for AOL to market itself, little prevents the two companies from completing such transactions without common ownership. The fact that AOL discs are already displayed in Warner’s stores makes this especially clear. The same argument can be applied to many of the other claimed benefits, including AOL’s ability to purchase content from Time Warner (item 3), the sale of Time Warner advertising through AOL sales reps (item 4), the use of cross-promotions to drive incremental subscriptions (item 5), and the use of AOL programmers to move Time Warner’s magazine subscription renewals online (item 5). The best-alternative test makes clear that, in assessing broad scope, only those benefits that cannot be achieved via other arrangements should be taken as valid arguments for common ownership.
- *It is assumed that additional business units can tap already-heavily-utilized resources with little or no additional investment.* The shared cost economies discussed earlier typically depend on some multipurpose resource that is underutilized. If the resource is too busy to be shared, however, then there is little opportunity to make two business units better off by bringing them together. Consider, for instance, the AOL customer support representatives who are underutilized early in the day (item 2). Their spare capacity seems to create an opportunity to ask the AOL reps, during their idle hours, to take on the tasks currently performed by Time Warner support reps. But what are the

EXHIBIT 6.3 Potential Synergies (in millions of U.S. dollars) from the AOL Time**Warner Merger.**

Source: Stephen P. Bradley and Erin E. Sullivan, "AOL Time Warner, Inc." Harvard Business School Case no. 702-421, Boston, MA 2002, p. 23.

Revenue Enhancement	Revenues	EBITDA
Ad Sales Upside	\$200.0	\$160.0
\$200 of \$600 million in estimated revenue upside at TW Online properties (CNN, CNNfn, CNNsi, <i>Time</i> , <i>People</i> , <i>InStyle</i> , <i>Entertainment Weekly</i>)		
More deals on AOL, ICQ through TW relationships	120.0	120.0
Higher Broadband Penetration	120.0	72.0
1 million more broadband subscriptions for TW relationships from AOL upgrades 500K average for year paying \$20 more per month		
Incremental Subscriptions	25.0	12.5
New subscriptions to AOL and magazines (through cross-promotion)		
New AOL Premium Services	60.0	30.0
2mm AOL subscriptions sign up for \$5 increase fee by year-end 2001 (for AOL TV, real-time stock quotes, etc.)		
Music	25.0	6.3
Downloads on early-generation music devices		
Increased Warner Music sales using AOL platform	10.0	2.5
Total Revenue Upside	\$590.0	\$403.3
Cost Savings: Reduced Operating Expenses	Revenues	EBITDA
Sales & Marketing, AOL (distribution of AOL software)	\$200.0	\$200.0
Sales & Marketing, Time Warner (movies and music)	100.0	100.0
Reduced spending on TW online initiatives (Entertainment)	125.0	125.0
Overhead (finance, legal, HR)	50.0	50.0
Reduced customer support cost (in COGS)	50.0	50.0
Reduced cost of content purchased by AOL (\$600 million over 4 years)	25.0	25.0
Reduced cost of member subscription and renewal	25.0	25.0
Reduced telecom/technology costs across AOL-Time Warner	25.0	25.0
Total Cost Savings	\$600.0	\$600.0

Time Warner support reps doing? They likely support Time Warner's cable systems, fielding telephone calls from customers whose television cables are malfunctioning. Demand for this kind of support probably peaks in the evenings . . . precisely when AOL support reps are fully utilized! (Some Time Warner support personnel visit customers' homes and repair cables, but AOL telephone support reps will surely not be able to replace those employees.)

Similarly, consider the argument that Time Warner "editorial and creative resources . . . can develop ad hoc proprietary content" for AOL (item 3). This helps the merged company pass the better-off test only if the editorial and creative

EXHIBIT 6.4 Rationales for Certain AOL Time Warner Synergies.

Source: Stephen P. Bradley and Erin E. Sullivan, "AOL Time Warner, Inc." Harvard Business School Case no. 702-421, Boston, MA 2002, p. 23.

1. Sales & Marketing AOL (distribution of AOL software)

\$200 million in reduced operating expenses (\$200 million EBITDA impact)

"AOL estimates that it can shave at least \$200 million off of its nearly \$1 billion marketing spend through a variety of cross-marketing programs and the use of remnant Time Warner advertising inventory. AOL software, for example, will likely be included on Warner Music CDs and movie DVDs. AOL discs can be included in Time Warner magazines and are already displayed in Warner's Studio Stores."

2. Reduced Customer Support Cost

\$50 million reduction in operating expenses (\$50 million EBITDA impact)

"We expect the combined company to achieve savings in customer support areas. AOL's 6,000 customer service representatives tend to be very busy for three to four hours late in the day, and underutilized at other times. Five percent of AOL's revenues, or \$400 million this calendar year, goes toward customer support....We do not know how much Time Warner spends in support, but think the combined company can achieve at least \$50 million in savings here."

3. Reduced Cost of Content Purchased by AOL

\$25 million reduction in operating expenses (\$25 million EBITDA impact)

"We have also assumed that AOL can save about \$25 million from reduced spending on content (AOL currently expects to spend about \$600 million on third-party content royalties over the next four years). Through Time Warner, AOL will have access to all varieties of content already being produced, as well as to editorial and creative resources that can develop ad hoc proprietary content."

4. Advertising Sales Upside (Time Warner)

\$200 million in revenues (\$160 million EBITDA impact)

"AOL management points out that Time Warner's online properties altogether generate only \$100 million out of an estimated \$600 million in inventory value. . . . The Time Warner Online sites should be generating more revenue than they are. . . . We do think some of that under-performance relates to the fact the sales efforts for those web sites come second to those of the parent business (the cable network, the magazine). Therefore, we have estimated in 2001 AOL Time Warner will capture an additional \$200 million of this \$500 million ad sales upside."

5. Incremental Subscriptions

\$25 million in new revenues (\$12.5 EBITDA impact) + \$25 million in reduced operating expenses (\$25 million EBITDA impact)

"The company plans to drive new subscriptions through cross-promotion of everything from AOL membership to magazine and cable subscriptions. For example, a Time Warner magazine might bundle a discounted two-year subscription with the AOL service, or AOL's sports channel might promote *Sports Illustrated*. Second, the company plans to move as much of the Time Warner cable and subscription renewal process online as possible, thereby reducing churn and reselling costs. . . . Finally, the company envisions converting weekly subscribers of the Time Warner magazines to perennial subscribers—providing weekly print copies of the magazines but also providing those subscribers with magazine content online . . . We are estimating that AOL Time Warner can achieve \$25 million in new subscription revenues. . . . We are also estimating that the company can save \$25 million from reducing the cost of subscription management and renewal."

resources were underutilized before the merger. Otherwise, those resources must be distracted from other tasks in order to produce content for AOL, and the resulting content can hardly be considered “free.” Likewise, the argument that AOL sales reps can sell Time Warner’s left-over advertising inventory (item 4) is valid only if those sales reps are not already spending all of their time productively selling AOL ads. These objections are closely related to the next flaw.

- *The opportunity costs of common ownership are ignored.* For instance, when AOL promotes its new sibling *Sports Illustrated* on its sports channel (item 5), it may lose the opportunity to promote *Sports Illustrated*’s competitors. The Merrill Lynch analysis accounts for the benefit associated with the former, but it ignores the cost of the latter.
- *Benefits that are supposed to make the jointly owned units better off are counted twice, often once in each unit.* For example, the reduction in AOL marketing expense that comes from cross-promotion (item 1) appears to overlap with the incremental subscriptions to AOL’s online services that also come from cross-promotion (item 5).
- *The costs and difficulty of cross-unit coordination are ignored; that is, cross-unit coordination is assumed to be free.* The Merrill Lynch analysts envision an enormous degree of cross-promotion and complex sharing of resources, which will require costly coordination efforts. Do the inevitable costs of coordination outweigh the benefits? If so, the merger fails the better-off test. And are such transactions better coordinated by contracts between independent firms than by managers within a firm? If so, the merger fails the best-alternative test.

The best antidote to logical flaws like these is a careful and dispassionate analysis of the costs as well as benefits of broad scope, weighed against a range of alternate arrangements. It seems that analysis of this sort could have identified the limited synergies from the merger of AOL and Time Warner ahead of time, and perhaps even helped predict that it would, as a result, be unstable even if it were consummated—as has turned out to be the case.

Summary

Both the stakes and the level of difficulty are high when a management team chooses the range of businesses in which a corporation will compete. Perspectives on such choices have evolved over time, and we see progression toward a view in which corporate-level scope choices are best seen as an overlay on business-unit strategies: corporate choices of scope are treated as effective or ineffective to the extent that they contribute to the success or failure of individual business units in their specific industries.

Broad scope that contributes to success passes two tests. First, the breadth must bring

together business units that are made better off by their union. More specifically, it must increase the ability of units to add value, net of any incremental costs. Increased added value might derive from an increase in volume, improvements in industry structure, a widened wedge between willingness to pay and costs, or—occasionally—a reduction in risk.

A choice of broad scope that passes this first test must also clear a second one. Joint ownership must capture the benefits of breadth better than alternate arrangements such as arms’-length trade, licensing, strategic alliances, and joint ventures. We discussed

circumstances that are likely to favor joint ownership over the alternatives, including contractual hazards and major investments in relationship-specific resources. We also considered how various models of corporate management address this best-alternative test in distinct ways.

The examples in this chapter illustrate the enormous power of corporate strategy both

to create and to destroy value. We are likely to continue to see examples of both given the complexities of scope choices. Yet managers can improve the odds of value creation and capture by rigorously asking whether, and if so, why, business units might be better off under the same corporate umbrella than they would be if separated . . . or coordinated by some alternative to outright ownership.

Glossary

best-alternative test
better-off test

corporate added value
corporate strategy

good-parent test

Notes

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2. Marakon Associates, *Commentary* 11 (June 1983).
3. Philippe C. Haspeslagh, Tomo Noda, and Fares Boulos, "Managing for Value: It's Not Just About the Numbers," *Harvard Business Review* 79, no. 7 (July–August 2001): 64–73.
4. Philippe C. Haspeslagh, "Portfolio Planning: Uses and Limits," *Harvard Business Review* 60, no. 1 (January–February 1982): 58–73.
5. C. K. Prahalad and Gary Hamel, "The Core Competence of the Corporation," *Harvard Business Review* 68, no. 3 (May–June 1990): 79–91.
6. Daryl Rigby, "Management Tools 2007: An Executive's Guide," Bain and Company, available at http://www.bain.com/management_tools/home.asp.
7. David J. Collis and Cynthia A. Montgomery, "Competing on Resources: Strategy in the 1990s," *Harvard Business Review* 73, no. 4 (July–August 1995): 118–128.
8. Pankaj Ghemawat, "Sears, Roebuck and Co.: The Merchandise Group" (Harvard Business School case no. 794-039, 1993).
9. Videotape of Richard M. Jones, President and Chief Financial Officer of Sears, Roebuck, addressing an Advanced Management Program class at Harvard Business School, November 11, 1985.
10. Stuart L. Gillan, John W. Kensinger, and John D. Martin, "Value Creation and Corporate Diversification: The Case of Sears, Roebuck & Co.," *Journal of Financial Economics* 55, no. 1 (January 2000): 103–137.
11. For others who employ similar and related tests, see Michael E. Porter, "From Competitive Advantage to Corporate Strategy," *Harvard Business Review* 65, no. 3 (May–June 1987): 43–59; Michael Goold, Andrew Campbell, and Marcus Alexander, *Corporate-Level Strategy: Creating Value in the Multibusiness Company* (New York: John Wiley, 1994); and David J. Teece, "Economies of Scope and the Scope of the Enterprise," *Journal of Economic Behavior & Organization* 1 (1980): 223–247.
12. Goold, Campbell, and Alexander, *Corporate-Level Strategy*, p. 14.
13. For further discussion of some of these points, see Pankaj Ghemawat, "The Growth Boosters," *Harvard Business Review* (July–August 2004): 35.
14. Ola Svenson, "Are We All Less Risky and More Skillful Than Our Fellow Drivers?" *Acta Psychologica* 47, no. 2 (February 1981): 143–148.
15. Ulrike Mahnendier and Geoffrey Tate, "CEO Overconfidence and Corporate Investment," (NBER working paper no. w10807, 2004), available at www.nber.org/papers/w10807. For related theoretical work, see Simon Gervais, J. B. Heaton III, and Terrance Odean, "Overconfidence, Investment Policy, and Executive Stock Options" (Rodney L. White Center for Financial Research working paper no. 15-02, 2003), available at <http://ssrn.com/abstract=361200>.

16. David J. Collis and Cynthia A. Montgomery, *Corporate Strategy: Resources and the Scope of the Firm* (Chicago: Richard D. Irwin, 1997).
17. Having said that, we reiterate—here and elsewhere—that performance has to be looked at in terms of total economic profits rather than just profitability or margins.
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23. This typology was first proposed by Michael E. Porter; see Porter, "From Competitive Advantage to Corporate Strategy."
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26. Silverman and Porter, "Scotts Company."
27. Ryan Chittum, "Cendant Hopes Simpler Model Will Lift Stock," *Wall Street Journal*, May 20, 2004, p. C1.
28. Tarun Khanna and Krishna Palepu, "Why Focused Strategies May Be Wrong for Emerging Markets," *Harvard Business Review* 75, no. 4 (July–August 1997): 41–51.
29. Ideas concerning transaction costs were pioneered by Ronald H. Coase and Oliver E. Williamson. See especially Ronald H. Coase, "The Nature of the Firm," *Economica* 4, no. 16 (November 1937): 386–405; Oliver E. Williamson, *The Economic Institutions of Capitalism: Firms, Markets, Relational Contracting* (New York: Free Press, 1985); Oliver E. Williamson, *Markets and Hierarchies, Analysis and Antitrust Implications: A Study in the Economics of Internal Organization* (New York: Free Press, 1975).
30. The description of these circumstances draws in part from Bharat Anand, Tarun Khanna, and Jan W. Rivkin, "Market Failures" (Harvard Business School case no. 700-127, Boston, 2000).
31. Khanna and Palepu, "Why Focused Strategies May Be Wrong . . .," *op cit*.
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33. See also Jose Manuel Campa and Simi Kedia, "Explaining the Diversification Discount," *Journal of Finance* 57, no. 4 (2002): 1731–1762; and Belén Villalonga, "Does Diversification Cause the 'Diversification Discount'?" *Financial Management* 33, no. 2 (Summer 2004): 5–27 (who address self-selection biases in the previous literature).
34. On India, see Tarun Khanna and Krishna Palepu, "Is Group Affiliation Profitable in Emerging Markets? An Analysis of Diversified Indian Business Groups," *Journal of Finance* 55, no. 2 (2000): 867–891, and also Pankaj Ghemawat and Tarun Khanna, "The Nature of Diversified Business Groups: A Research Design and Two Case Studies," *Journal of Industrial Economics* 46, no. 1 (1998): 35–61. Tarun Khanna and Jan W. Rivkin, "Estimating the Performance Effects of Business Groups in Emerging Markets," *Strategic Management Journal* 22, no. 1 (January 2001): 45–74, provide a much broader perspective on the performance consequences of group affiliation in a broad range of emerging markets. And on highly industrialized countries other than the United States, see Eric R. Gedajlovic and Daniel M. Shapiro, "Management and Ownership Effects: Evidence from Five Countries," *Strategic Management Journal* 19, no. 6 (1998): 533–554 and Karl Lins and Henri Servaes, "International Evidence on the Value of Corporate Diversification," *Journal of Finance* 54, no. 6 (1999): 2215–2239.